

Risks That We Face

Real value is lower than what we thought.

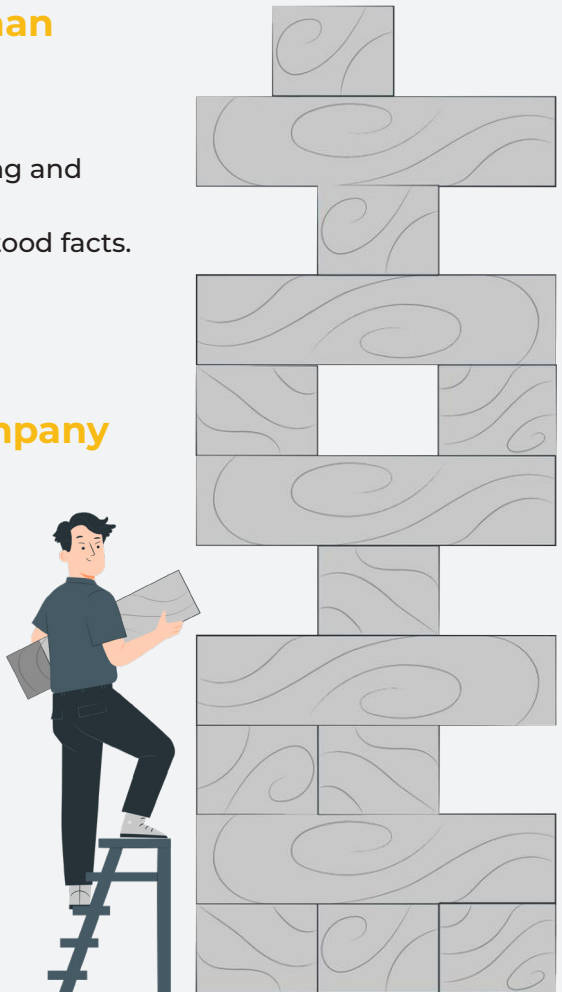
This can be because-

- 1.1 Our assumptions are wrong and influenced.
- 1.2 We may have misunderstood facts.
- 1.3 Over-optimism about a company/industry.

Real value of the company deteriorates.

This is because-

- 2.1 Quality of earnings deteriorates.
- 2.2 Business Circumstances deteriorate.
- 2.3 Industry profits took a hit.
- 2.4 Threat of new major entrants.
- 2.5 Company entered in a major litigation.



In most cases, these circumstances will lead to losses.